Mark schemes

1. In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

Level 5	**Good analysis and good evaluation**	**22 to 25 marks** *Mid-Point 24 marks*
Level 4	**Good analysis but limited evaluation** **OR** **Reasonable analysis and reasonable evaluation**	**17 to 21** *Mid-Point 19 marks*
Level 3	**Reasonable including some correct analysis but very limited evaluation**	**10 to 16** *Mid-Point 13 marks*
Level 2	**Weak with some understanding**	**4 to 9** *Mid-Point 7 marks*
Level 1	**Very weak**	**0 to 3** *Mid-Point 2 marks*

Issues and areas for discussion include

Introduction	• Definitions / descriptions of, e.g. ◦ Privatisation ◦ Public ownership
Developing the response to the question: **(Application)**	• Comments from own economic knowledge or based on the data, e.g. ◦ Further comments on **Extract A**, (differences / similarities between different governments) ◦ Examples from **Extract B** of privatisations ◦ Dangers of privatisation mentioned in **Extract C**
Developing the response to the question: **(Analysis)**	NOTE There are two aspects to the question: privatisation vs. nationalisation, and domestic ownership vs. international ownership. To achieve Level 5 both aspects must be analysed **and** evaluated. Level 4 can be achieved by a thorough treatment of one aspect, as long as the other is addressed to some extent. • Arguments for nationalisation / against privatisation, e.g. ◦ Externalities ◦ Inability of markets to make long term predictions ◦ Health and safety issues arising from environmental problems ◦ The need for coordinated international action ◦ Merit goods, demerit good, public goods • Arguments for privatisation / against nationalisation, e.g. ◦ Efficiency ◦ Competition, enterprise, efficiency ◦ Signalling, incentive, rationing functions of price • Advantages / disadvantages of international cooperation. • Implications of inward investment; skills / knowledge transfer, comparative advantage vs. self-sufficiency, import substitution
Evaluation	• Evaluation of some specific privatisations, e.g railways, nuclear power, water • Discussion of the quotation (whether the exclusion of British state ownership can be justified if owners are nationalised by their states, or have the backing of a foreign sovereign wealth fund) • Advantages and disadvantages of a mixed economy approach • Market failure versus government failure • Need for privatisation to be accompanied by effective regulation • Globalisation and globalism • Protection vs. free trade; free movement of capital *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Relevant diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

2.

Issues and areas for discussion include

Introduction	• Description of 'market forces' in housing ◦ perfect competition ◦ resource allocation ◦ efficiency
Developing the response to the question: Application/ Analysis	Application ◦ consequences of the assumptions of perfect competition ◦ price taking behaviour ◦ short run equilibrium, incentives to expand or contract ◦ long run equilibrium, price = MC; MC = MR; AC = AR ◦ productive and allocative efficiency Analysis • Market success: consumer and producer surplus ◦ Market failures: dominant firms; externalities; lack of public goods/services; merit goods ◦ Lack of economies of scale.
Evaluation	• Do firms and consumers really have perfect knowledge, e.g. of marginal costs and benefits? ◦ Asymmetric information, are decisions really made on the margin? ◦ Monopoly and monopsony ◦ Merit and demerit goods ◦ Externalities/social optimum ◦ Non-monetary considerations ◦ Static/dynamic efficiency/Economies/diseconomies of scale ◦ Is perfect competition a value laden concept (note the word 'perfect')? ◦ Can all goods and services (e.g. roads, health) be treated as consumer goods, when they have significant spill-over effects? ◦ Situations where the supplier needs to be 'de-centralised' and close to the consumer, to cater for consumer preference, choice, etc.: e.g. few would argue that the government should run our supermarkets. ◦ Situations where some degree of 'centralised' command & control and/or coordination and/or strategic forward planning is necessary: e.g. should competing companies be running our railways? *Examiners should note that, for some of the weaker or average*

	candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.
Also give credit for	• Diagrams ◦ An overall judgement on the issues raised ◦ Examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

3.

D

[1]

4.

Relevant issues raised:

Explanation For a relevant explanation of supernormal profit eg in terms of profit in excess of normal profit which is the minimum return required to keep an enterprise in its current use.

Analysis of effects
For Example • If firms are colluding closely, then the industry can be analysed as a (complex) monopoly. If the business is profit maximising then MC = MR; a percentage tax rate takes a proportion of total profit which is the difference between TC and TR. The rational business decision is to continue at the same level of output and price because a proportion of a maximised profit is better than a proportion of a less than maximum profit. The tax therefore has no immediate or short run effect on the equilibrium position of the firm, instead it acts as a revenue-raiser for the government; however, in the longer term the firm might react with decisions about such matters as investment or expansion. • Other considerations, e.g. the special circumstance of companies that, in effect, sell electricity to themselves (a form of ‘transfer pricing’) and/or have to estimate demand in advance, and have a product that cannot be stored. • Analysis in terms of supply and demand curves might be used to illustrate the effects of a tax. While this might not be appropriate to an imperfect market, which is the context of the data, the question does not specify the type of market. Also, it could (conceivably) be argued that in a global context, energy supply might be structured monopolistically but behave competitively, e.g. by price taking. While this might be more credible in the case of supermarkets, we will accept an argument that the tax will shift supply to the left and further raise prices, and mark the subsequent logical chain of reasoning on its quality.
For making appropriate use of diagrams, e.g. profits diagram for a monopolist; S & D analysis (see notes above).

[9]

6. D

[1]

7.

Relevant issues include:

- explaining the difference between the short run and long run
- distinction between the marginal and average returns to the variable factor
- explaining law of diminishing returns; increasing returns followed by eventually diminishing returns as more units of a variable factor are applied to a fixed factor
- explaining why, in the short run, diminishing returns are likely to occur at some level of output
- relating marginal and average returns to costs of production, in particular marginal cost and average variable cost
- in the long run all factors are variable and the law of diminishing returns does not apply
- examples of economies of scale and diseconomies of scale
- LRAC curve can be falling, horizontal or rising, depending on economies of scale and diseconomies of scale
- relationship between returns to scale and economies of scale
- why some firms/industries are more likely to benefit from economies of scale than others

[15]

8.

Level of response	Response	Max 25 marks
5	**Sound, focused analysis and well-supported evaluation that:** • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	**21-25 marks**
4	**Sound, focused analysis and some supported evaluation that:** • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	**16-20 marks**
3	**Some reasonable analysis but generally unsupported evaluation that:** • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	**11-15 marks**

2	**A fairly weak response with some understanding that:** • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	**6-10 marks**
1	**A very weak response that:** • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes analysis which is, at best, very weak • includes attempted evaluation which is weak and unsupported.	**1-5 marks**

Relevant issues and areas for discussion include:

- the stability of the Brazilian economy
- political and social stability
- the rule of law and corruption
- whether the investment is likely to be profitable and whether it is secure
- the nature of any capital controls
- the infrastructure in Brazil
- the skills and abilities of the workforce
- financial and other support from the government
- regulations on business
- the tax regime; both corporate and individual taxes
- availability of finance
- the prospects for future growth of the Brazilian economy
- the size of the Brazilian car market and the potential for future growth
- access and proximity to businesses that can support the car industry, eg component suppliers
- potential for exporting cars from Brazil, eg access to other markets in the Americas
- the prospects for the value of the Brazilian currency, the real, and its stability

[25]

9.

Areas for discussion include:

- the meaning of cost minimisation/revenue maximisation
- ultimately, minimising total costs means not producing anything
- cost minimisation means minimising the cost of producing any given level of output
- X- inefficiency
- methods of reducing/minimising costs
- implications of cost minimisation
- methods of increasing/maximising revenues
- implications of revenue maximisation
- discussion of whether both can be pursued at once
- profit maximisation/satisficing
- explanation that while Total Profit = TR – TC, maximum profit is at MC = MR
- is cost minimisation and revenue maximisation consistent with profit maximisation?
- the need for firms in the private sector to make profits
- other possible objectives that firms might pursue
- the importance of the type of firm and the structure of the industry
- issues to do with the divorce of ownership and control; different sections/interests within a single firm might have different objectives, eg production process (minimise costs) sales/marketing (maximise total revenue) managers (utility/status/bonuses linked to profits/sales/other indices), shareholders (long-run, short-run perspectives on share prices and dividends)
- picking up on the word ‘always’ in the question

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate’s response to the question.

[25]

10.

C

[1]

11.

B

[1]

12.

Areas for discussion include:

- meaning and types of protectionism
- criteria for assessing whether protectionism is damaging, eg resource allocation, employment, growth, environmental impact, social factors
- benefits of free trade as illustrated by the principle of comparative advantage
- dynamic benefits of free trade, eg increased competition, economies of scale
- the problems that may result from free trade
- various arguments for protectionism, eg protection of sunrise and sunset industries, diversification of output, protection of employment, low wage arguments, protection against dumping, raising revenue to correct balance of payments deficits
- protectionism and trading blocs
- trade creation and trade diversion
- protectionism, living standards and inflation
- impact on different economies, eg developed versus developing economies
- protectionism as a means of dealing with domestic macroeconomic problems
- retaliation and 'beggar thy neighbour' policies
- short-run and long-run consequences
- exchange rate changes as an alternative to protectionism or as a form of protectionism, eg emerging economies fixing their exchange rates at a low level to encourage export-led growth.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

[25]

13.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	**Good analysis <u>and</u> good evaluation**	**22 to 25 marks** *Mid-Point 24 marks*
Level 4	**Good analysis <u>but</u> limited evaluation** **OR** **Reasonable analysis <u>and</u> reasonable evaluation**	**17 to 21** *Mid-Point 19 marks*
Level 3	**Reasonable including some correct analysis <u>but</u> very limited evaluation**	**10 to 16** *Mid-Point 13 marks*
Level 2	**Weak with some understanding**	**4 to 9** *Mid-Point 7 marks*
Level 1	**Very weak**	**0 to 3** *Mid-Point 2 marks*

Issues and areas for discussion include

Introduction	Basic definitions / descriptions of • long run • profit maximisation • business goals / objectives

Developing the response to the question:
 	
Application/Analysis
	• The importance of the profit motive.
	• Relevance of the size of firms
	• The functions of the entrepreneur: ownership, control, decision making and risk taking in small firms and large firms
	• Directors versus managers
	• Decision-making in small firms and large firms
	• The impact of a divorce between ownership and control
	• Other possible objectives
	  ◦ Sales maximisation
	  ◦ Revenue / turnover maximisation
	  ◦ Maximisation of Market share
	  ◦ Maximisation of company size (world domination)
	  ◦ Industry-specific objectives e.g. newspaper circulation, TV viewing figures
	  ◦ Managerial utility
	  ◦ Social welfare maximisaton
	  ◦ Satisficing

Evaluation	• Critical discussion of the quotation • Bonus culture • Short run vs long run • Large firms vs small firms • Overall view of the various possible objectives • Is any one objective sufficient, or do firms need a range of objectives? • Importance of profits for investment • Can any other objectives be achieved in the long run if profits are not achieved? • Is profit maximising actually possible? Do firms have the information? Can they track MC, MR etc? *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Diagrams • An overall judgement on the issues raised • Examples

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

[25]

15.

Areas for discussion include:

- the nature and examples of price discrimination
- allows the producer to convert consumer surplus into producer surplus
- how price discrimination allows the producer to increase revenue and profit compared to a single price
- relevance of price elasticity of demand
- how price discrimination enables the producer to reduce fixed costs by spreading demand more evenly, eg peak and off-peak rail fares
- better capacity utilisation by firms will lower costs and may lead to lower prices for consumers
- why price discrimination may increase total sales and generate economies of scale
- the use of price discrimination as a barrier to entry, reducing competition
- why price discrimination almost certainly means that some consumers will face a higher price than if there was a single price
- the use of price discrimination to cross-subsidise loss-making services
- some consumers will benefit from lower prices and products that might not otherwise be supplied
- equity considerations related to the redistribution of income that results from price discrimination.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

The use of examples to illustrate price discrimination should also be taken into account when assessing the quality of response.

[25]

16.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	**Good analysis <u>and</u> good evaluation**	**22 to 25 marks** *Mid-Point 24 marks*
Level 4	**Good analysis <u>but</u> limited evaluation** **OR** **Reasonable analysis <u>and</u> reasonable evaluation**	**17 to 21** *Mid-Point 19 marks*
Level 3	**Reasonable including some correct analysis <u>but</u> very limited evaluation**	**10 to 16** *Mid-Point 13 marks*
Level 2	**Weak with some understanding**	**4 to 9** *Mid-Point 7 marks*
Level 1	**Very weak**	**0 to 3** *Mid-Point 2 marks*

Issues and areas for discussion include

Introduction	• Definitions of, e.g. ◦ concentration ◦ monopoly power
Developing the response to the question: **Application/Analysis**	• Advantages of concentration / monopoly ◦ Economies of scale ◦ International competitiveness ◦ Patents, copyrights, etc. ◦ Public interest arguments, e.g. strategic industries, employment issues ◦ Dynamic efficiency ◦ Natural monopoly • Disadvantages ◦ Consumer surplus transferred to producers ◦ Deadweight losses ◦ Higher prices, lower output, under-used capacity ◦ Possibility of collusion ◦ Market failure ◦ Producer sovereignty
Evaluation	• Critical discussion of the quotation • Advantages versus disadvantages of monopoly / concentration • Possibility of price discrimination (positives and negatives) • Need for government intervention and regulation • Collusion distinguished from cooperation / collaboration • Static / dynamic efficiency • Is perfect competition always 'perfect'? • Does 'perfect' necessarily signal 'the best'? • Global issues (large firms more resilient than small ones faced with international competition and corporatism) • Advantages of monopoly in certain situations (e.g. NHS vs health markets) • Application to particular industries, such as motor manufacturing *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Diagrams • An overall judgement on the issues raised • Examples

It will only be possible for candidates to consider a few of the issues and areas noted. They may also discuss issues not mentioned in the table.

[25]

17.

For relevant definitions, e.g. price discrimination, in terms of different prices charged to different customers **(2 marks)** for the same product **(2 marks)** without the difference explained by cost differences **(2 marks)**.	**Up to 2 marks per point defined or explained to a maximum of 4 marks**
For explanation – award 1 mark for each link in a logical chain of reasoning to a maximum of 15 marks.	
Examples include • The law of diminishing returns (LDR) shows both factor combination and factor substitution **(1 mark).** It is a short run law, meaning that a variable factor, such as labour **(1 mark)** is combined with other factors, at least one of which, such as a machine or factory building, **(1 mark)** is fixed in terms of size or scale **(1 mark)** and hence productive capacity **(1 mark)**. In effect, an increasing use of a variable factor is used as a substitute for more of the fixed factor **(1 mark)**, and since factors are not perfect substitutes, diminishing returns sets in **(1 mark)**. LDR shows how output changes **(1 mark)** in proportion to factor inputs **(1 mark)** as the fixed factor approaches and passes its optimal capacity **(1 mark)**. In the short run, we can confidently predict that LDR will set in at some point affecting marginal, average and total returns **(1 mark)**. Returns to scale (RTS) operate in the long run **(1 mark)**, when all factors are variable in size or scale **(1 mark)**. RTS show how output changes as the scale of the production unit increases **(1 mark)**. RTS occur in the long run, and nobody can predict the future, so economies of scale are less predictable and less certain than short-run diminishing returns **(1 mark)**. There is the possibility of long run decreasing returns to scale **(1 mark)**. • Allow **maximum of 2 marks** for a mere **list** of different types of scale economy (managerial, technical, etc.). Individual types of economy of scale can only earn **1 mark** if they are integral to the logical chain of discussion explaining long run changes in returns. • Up to **3 marks** for describing increasing returns, constant returns, and decreasing returns to scale as a relevant part of the discussion • While the law of diminishing returns is related to physical output, not the value of output, the law underlies the shape of average and marginal cost curves. Students can therefore discuss this question by reference to short run cost curves, which are the mirror image of physical product curves, with short run costs falling (efficiency increasing) as optimal capacity utilisation is approached, then rising (efficiency reducing). Economists typically draw a long run average cost curve (envelope curve) reflecting increasing returns to scale (falling LRAC), constant returns (horizontal LRAC) and decreasing returns (rising LRAC).	
Use of diagrams to support the explanation, e.g. marginal and average physical product curves and / or cost curves	**Up to 2 marks per diagram (1 mark for labelling, 1 mark for information shown) to a total of 4 marks.**
Relevant real world examples and / or relevant reference to the UK and / or other economies.	**1 mark per reference to a maximum of 2 marks**

[15]

18.

For relevant definitions, e.g. perfect competition **(2 marks)**, efficient resource allocation **(2 marks)**	**Up to 2 marks per point defined or explained to a maximum of 4 marks**
For explanation – award 1 mark for each link in a logical chain of reasoning to a maximum of 15 marks.	
Examples include • Economic theory predicts that under the conditions perfect competition the market will move towards a long run equilibrium **(1 mark)** where firms are earning only normal profits **(1 mark)** and there is no incentive **(1 mark)** for existing firms to leave **(1 mark)** or new firms to enter **(1 mark)** the industry. At that point P = MC = MR = AC = AR **(1 mark)**. If price equals marginal cost, the producer is compensated for putting the resources together to produce a good or service **(1 mark)**. If price also represents the marginal benefit, then consumers believe a purchase compensates them for the hard-earned money they spend **(1 mark)**. If marginal cost = marginal benefit neither consumers nor producers are benefitting at the expense of the other **(1 mark)** while consumers are receiving the goods and services they want **(1 mark)**. This gives allocative efficiency **(1 mark)**. If MC = AC, then AC must be at its lowest point and this gives productive efficiency **(1 mark)**. So profit maximisation (MC = MR) **(1 mark)** by a large number of small firms has led to an efficient allocation of resource **(1 mark)**. • Because they do not act as price-takers, and AR is therefore not equal to MR firms in any imperfect form of competition cannot achieve all five elements of P = MC = MR = AC =AR at a single equilibrium point and in that sense is less efficient than perfect competition For students who do not go directly to the LR equilibrium position, but start with the short run, distinguish between firm and industry, and proceed through the 'steps' towards achieving LR equilibrium: • Allow **up to 2 marks** for a mere 'list' of conditions of perfect competition. Individual conditions can be credited (**1 mark** each) only if they are discussed within a logical chain of reasoning that explains price-taking and competitive behaviour.	
Use of diagrams to support explanations e.g., Perfect competition, equilibrium, short / long run	**Up to 2 marks per diagram (1 mark for labelling, 1 mark for information shown) to a total of 4 marks.**
Relevant real world examples and / or relevant reference to the UK and / or other economies.	**1 mark per reference to a maximum of 2 marks**

[15]

19. In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Level 5	**Good analysis <u>and</u> good evaluation**	**22 to 25 marks** *Mid-Point 24 marks*
Level 4	**Good analysis <u>but</u> limited evaluation** **OR** **Reasonable analysis <u>and</u> reasonable evaluation**	**17 to 21** *Mid-Point 19 marks*
Level 3	**Reasonable including some correct analysis <u>but</u> very limited evaluation**	**10 to 16** *Mid-Point 13 marks*
Level 2	**Weak with some understanding**	**4 to 9** *Mid-Point 7 marks*
Level 1	**Very weak**	**0 to 3** *Mid-Point 2 marks*

Issues and areas for discussion include

Introduction	• Definitions, examples ◦ Economies of scale ◦ What is meant by "small" or "large" in this context
Developing the response to the question: **Application/Analysis**	• Distinction between short run and long run • Diminishing returns and returns to scale • Advantages of large firms, e.g. ◦ Types of economy of scale ◦ Other advantages of size, e.g. opportunities for collusion, price making, monopoly, oligopoly, dominant firm price leadership • Disadvantages: diseconomies of scale; x inefficiency ◦ Globalisation and concentrated markets ◦ Government policy (eg sweetheart tax deals) • Advantages of small firms, e.g. ◦ Niche markets ◦ Barometric price leadership ◦ Disruption, e.g. easyJet, Uber ◦ Government policy favouring small firms (eg small business support, start-up grants; business advice agencies) ◦ Government policy hindering small firms, e.g. business rates, VAT, red tape
Evaluation	• Ways in which small firms can fight back, e.g ◦ Reducing costs (internet / weightless economy ◦ Technical change reducing the need for scale economies (eg nuclear power stations versus windmills) • The importance of small firms in the economy ◦ As employers ◦ As motors for growth ◦ As innovators ◦ As ethical producers ◦ Serving specialised markets ◦ Having the potential for growth – large firms start out small • Arguments for and against government intervention to support / promote Small & Medium Enterprises • The question of whether government intervention is necessary • Overall view of advantages and disadvantages of large and small firms *Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*
Also give credit for	• Diagrams • An overall judgement on the issues raised • Examples

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

20. **The anticipated diagram would make appropriate use of diagrams, e.g. S & D analysis showing taxation, the effects of 'peak oil' (mentioned in the text) or another relevant example such as rising average costs.**

Relevant issues include:

- For a relevant explanation of a finite resource e.g. in terms of a resource that once consumed cannot be replaced /renewed, or is limited in supply and therefore will become scarcer over time.
- Environmental policies might impose extra costs on businesses for example via taxes or through requirements for types of equipment, such as catalytic converters being fitted to cars. If these policies are unilateral, then international competitiveness might be damaged. There may be bureaucratic costs.
- Further elaboration of a relevant aspect, e.g. the effects of environmental taxes.

[9]

21.

For relevant definitions, e.g. commercial success, in terms of trade and profitability **(2 marks)**, market failure, in terms of opportunity costs / externalities **(2 marks)**	**Up to 2 marks per point defined or explained to a maximum of 4 marks**
For explanation – award 1 mark for each link in a logical chain of reasoning to a maximum of 15 marks.	
Possible explanations include • A major international airport, such as Heathrow has multiplier effects on the local economy **(1 mark)**. It is also important to the national economy as a transport hub **(1 mark)**. The airport itself is these days likely to be a private sector enterprise **(1 mark)** and many other private sector organisations (shops, cafes, suppliers, contractors) will benefit from the economic activity **(1 mark)**. If profitable, the whole enterprise will be a significant commercial success **(1 mark)**. However, the government will be expected to provide infrastructure **(1 mark)** with an opportunity cost **(1 mark)**. The taxpayer might not get an adequate return **(1 mark)**. There are also environmental costs **(1 mark)** such as noise, air pollution and road congestion (**1 mark for an example**). Commercial success is measured by profits, whereas externalities and other market failures are difficult to measure **(1 mark)** therefore they can co-exist **(1 mark)**. • An airport, such as Heathrow, as a major employer	
Use of diagrams to support explanations, e.g. Internal / external costs and benefits	**Up to 2 marks per diagram (1 mark for labelling, 1 mark for information shown) to a total of 4 marks.**
Relevant real world examples and/or relevant reference to the UK and/or other economies.	**1 mark per reference to a maximum of 2 marks**

[15]

22. C

[1]

23. C

[1]

24. C

[1]

25. **Areas for discussion include:**

- features of monopolistically competitive market including differentiated products, spare capacity, some influence over price, good information, no barriers to entry or exit, many producers and consumers
- pricing decisions are made independently of rivals' strategies
- short-run analysis explaining how firms set quantity by profit maximising (MC=MR), and the price they charge can be worked out from the AR curve. This leads to a degree of abnormal profit assuming AC<AR
- in the long run rival firms have an opportunity to enter the market, given absence of barriers to entry. This results in the existing firm's demand curve shifting left. The firms still profit maximise, but this is now at a lower level of output, where abnormal profit is likely to be lower/eliminated

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 15 marks
3	**A good response provides an answer that:** • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	**11 – 15 marks**
2	**A reasonable response provides an answer that:** • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	**6 – 10 marks**
1	**A weak response provides an answer that:** • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context **and/or** data to the question • might have some limited analysis but it may lack focus **and/or** become confused.	**1 – 5 marks**

[15]